



Shareholder activism and firms' performance[☆]

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ABSTRACT

Increasing attention to activist campaigns raises the question of whether they lead to better performance. The impact of different motives, demands, and proposals is still unclear and, sometimes, contradictory. We used a unique dataset of activist campaigns targeting firms in the US from 2002 to 2017 and analysed the impact of activism on firm performance, considering their specific demands. Our results show that firms experience a decline in profitability almost immediately after campaigns, although the effect is unclear in the years subsequent to the intervention. Results also suggest that campaigns primarily focused on demanding a change in strategic direction or obtaining board control intensify the decline in profitability. Seeking board representation is the type of demand that effectively increases target firms' profitability. Our analysis adds to research on shareholder governance and competitive dynamics by highlighting that the type of demand adopted in campaigns impacts differently on firms' performance.

1. Introduction

Activist campaigns have been in the spotlight of practitioners and academics for their increasingly bold moves and strategic actions. The participation of activist shareholders in firms has been growing over recent years (Hadani et al., 2011, 2019; DesJardine and Durand, 2020), particularly after the financial scandals and the financial crisis of 2007–2008 (DesJardine and Durand, 2020). Activist shareholders have been demanding that firms display greater transparency and provide more relevant and timely information (Goranova and Ryan, 2014; Denes et al., 2017). They also demand that managers carry out necessary actions and measures to improve firm performance and generate a return in the medium and in the long term (Gantchev, 2013; Cundill et al., 2018; Bassen et al., 2019). Shareholders are now using their ownership rights—whether through exercising their votes on shareholder proposals or by means of direct dialogue with the firm on specific issues of concern—to pressure the firm to change its corporate behaviour (O'Rourke, 2003). Apart from the goal of improving the firm's performance, shareholder activists are concerned to improve the firm's social responsibility and increase its impact on the circumjacent society (Guay et al., 2004).

Consequently, the number of activist proposals has increased appreciably (Anon, 2018). According to a report by Activist Insight, the volume of activism slowed in 2020 due to the pandemic by around 10% to 810 targeted companies whereas, in 2019, 432 (53.3%) US-based companies and 84 (10.4%) European companies, including the UK, had been targeted (Activist Insight, 2021). Despite the increase in activism, the focus on larger market capitalisation companies (above \$10 billion) increased from 20.5% to 25.3%, and

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environmental activism came into sharp focus from the second half of 2020 (Activist Insight, 2021). In 2021, this company's sourcing data on activism expects to show a return to the pre-pandemic levels of activist campaigns (Activist Insight, 2021). Furthermore, there has been a notable geographic expansion of this movement outside the US. National campaigns have been launched in various European countries, including France, Germany, Switzerland, Italy, and Spain. Nevertheless, only about 20% of total activist shareholder funds are located outside the English-speaking world (Ponomareva, 2018).

Firms attach great importance to shareholder activism because research has shown that there are benefits to be had in terms of increases in market value, profitability, and governance (e.g., Thomas and Cotter, 2007; Cuñat et al., 2012; Flammer, 2015; DesJardine and Durand, 2020). However, these benefits differ according to the time span under consideration (e.g., the benefits tend to decrease in the mid-to-long term) and are not captured equally by all shareholders (Stout, 2012). For example, in the case of hedge-fund activism, DesJardine and Durand (2020) find that, besides the short-term increase in market value and profitability, activist campaigns can often render outcomes that are detrimental in the long run—a decrease in operating cash flow and R&D spending, a reduction in the number of employees, and the exertion of downward pressure on corporate social performance, to name a few. In a related sphere, another negative side effect of activist action is the departure of valuable employees, which ultimately exerts a negative effect on performance (Chen and Feldman, 2018; Chen et al., 2020).

Similar to previous studies, we investigate the role of shareholder activism on firm performance. However, contrary to most previous studies on firm performance, we do not exclusively focus on hedge funds (DesJardine and Durand, 2020; Swanson et al., 2022; DesJardine et al., 2022). Even though previous research has examined the impact of shareholder activism on firm performance, there is still no clear understanding of what impact activist shareholder participation (Cremers et al., 2016) and the specific proposals advanced will actually have on the targeted firm's performance. Denes et al. (2017) examined the consequences of shareholder activism and noted that, in more recent years, studies have found increased share value and enhanced operating performance. Yet, the type of demand is not under scrutiny. More recently, Ng et al. (2021) looked at the effect of the type of proposal, although they focused on earnings management and not on performance. Studies have also looked specifically at one type of proposal (Kang et al., 2022), one specific country (Shingade et al., 2022), and one category of investors other than hedge funds (Berezinets and Ilina, 2021; Agrawal and Lim, 2020). Swanson et al. (2022) are among the very few who focus on demand types, although their scope is different from ours, as they focus on stock market returns in the days surrounding the ownership announcement.

To advance understanding of the impact of activism on firm performance, considering specific demands, we use a unique dataset of US activist campaigns from 2002 to 2017. We combine the information gleaned from activist shareholder proposals for target firms – for example, the target firm's industry, the type of proposal, the announcement date, and the status of the campaign, among other significant aspects. Our empirical analysis finds that the participation of activist shareholders serves to decrease firms' profitability – in particular, immediately after the activist campaigns.

We contribute further to the research by taking the additional step of looking at the type of demand advanced in activist campaigns, in line with the work of Denes et al. (2017) and Ng et al. (2021). Similar to these authors, who showed that different types of demand by activist shareholders impact performance, we find that campaigns mainly focused on demanding a change in strategical direction or on obtaining board control exacerbate the decline in profitability. We also find that actions by activist shareholders aimed at securing board representation are superior to all other types of demand in enhancing the performance of the target firm. The probable cause is that this type of intervention does not imply immediate structural changes in the firm's leadership and strategic positioning. From a managerial perspective, our results suggest that activist movements may not improve profitability levels for either the firm or the shareholders in the short and the medium term. The jury is still out on the long-term impact, which remains unclear.

This paper is organised as follows: Section 2 presents the main literature review and the hypotheses of this study. Data and methodology are explained in Section 3, with results and discussion in Section 4 and conclusions in Section 5.

2. Literature review and hypotheses development

2.1. Theoretical background

Shareholder activism can be traced back to 1942, when the US Securities and Exchange Commission (SEC) introduced the first regulation to allow shareholders to submit proposals for inclusion in corporate voting (Gillan and Starks, 2007; Poulsen et al., 2010). It has attracted the attention of scholars, politicians, policymakers, and the media. The debate on the effects of shareholder activism on organisational practices and outcomes has flourished (Goranova et al., 2017). Agency theory arguments have dominated this debate.

The agency theory relies on the principal–agent relationship in which shareholder types shape such relationships differently (Courteau et al., 2017; Crisostomo et al., 2020). This theory encompasses the motivation for large shareholder activism, which argues that activism plays an external governance monitoring role (Benton and You, 2019). There are costs for good governance that are balanced with side benefits (Elkelish, 2017). Tighter oversight from more concentrated shareholder blocks mitigates the agents not working in the best interest of shareholders (Belinfanti et al., 2008). A similar effect was documented in the literature in light of the role of institutional shareholders (Short and Keasey, 2005).

Activist investors are a particular type of institutional shareholder, and their role in the governance of firms is not expected to differ significantly from what is known in the literature (Crespi and Renneboog, 2010). However, institutional shareholders that act as financial intermediaries may play a differentiated role in governance compared to standard principal block holders (Dasgupta & Sautner, 2021). In fact, the agency theory mostly dominates the theory behind shareholder activism in light of the monitoring role of these market participants. According to Benton and You (2019, p. 281), the “agency theory predicts that activist investors will tend to target firms who exhibit governance and performance problems.” According to this view, agency costs are less relevant or visible when

firms are in good health in terms of governance. Consequently, better governed firms are less likely to be targeted by activists. However, when shareholders' interests are not satisfied and aligned with current management decisions, shareholder activists may either vocalize their discontent by proposing changes or they may opt to sell their positions. These two types of behaviour are known as the "voice" and the "exit" (Hirschman, 1970). Those shareholders who continue to hold on to their shares will use proposals as a disciplinary mechanism to reduce managerial discretion. According to Harris and Raviv (2010), firms with exacerbated agency problems, such as pursuing personal agendas instead of maximizing firm value, can alleviate such concerns when shareholders seek control over corporate decisions. Thus, shareholder activism is a fitting way to counter agency problems (Renneboog and Szilagyi, 2011). It does so by "increasing director responsiveness to shareholders' concerns to open the market more fully to corporate control" (Thomas and Cotter, 2007, p. 369). Empirical evidence also points out that clustered activism enhances profitability for shareholders (González and Calluzzo, 2019). Conversely, minority groups of shareholders induced by activist shareholders may mitigate related-party transactions and, thus, enhance shareholder value (Byun and Kim, 2013).

Opponents of these arguments are very vocal in questioning shareholder activism as a means to alleviate agency problems. Some argue that it can even exacerbate rather than assuage. For example, according to the "myopic-activists" argument, those activists with short-term horizons (mainly hedge funds) promote actions that are profitable in the short term, even if detrimental to the long-term wealth of the firm and its shareholders (Bebchuk et al., 2015). Voices resisting agency theory also claim that, when proposals are put to the public, it is a sign that the behind-the-scenes negotiations with management have failed. Supporting this argument, Prevost and Rao (2000) show that the market responds negatively to proposal submissions and may not exert discipline on managers. To add to this point of view, some authors claim shareholder activists may create performance-driven myopia – that is, managers may be driven by selfish reasons and behave opportunistically. For example, they may engage in earnings management practices to increase their pay-for-performance compensation (e.g., Sun et al., 2013; Obermann and Velte, 2018), while activism may also influence earnings management practices (Ng et al., 2021). Finally, agency problems would only be alleviated if shareholder activists propose value-enhancing proposals but lack the necessary information to make effective decisions. Even if they possess appropriate information and knowledge, they may be pursuing their own personal agendas and short-term gains (hedge funds again being the prime example). They may not care about the consequences that result from these interventions – disruption of firm operations and other unnecessary costs (Bainbridge, 2006).

2.2. Motivations for shareholder activism

There are different types of activist (Filatotchev and Dotsenko, 2015), each with (potentially) different motives for advancing a proposal. According to Judge et al. (2010), two main kinds of motivation for shareholder action exist: i) financially-motivated activism, and ii) socially-motivated activism. In the first case, activist investors pressure the managers and/or directors to rectify certain issues that appear to be mismanaged by the firm. Usually, activists seek businesses that deliver low shareholder returns or poor profitability or margins, particularly relative to their peers. The proposals resulting from this type of motivation seek to maximise shareholder's value and are often related to excessive executive pay levels, the failure to pay out dividends, and changing the capital structure. Consequently, shareholders may seek to offer solutions and implement changes to explore the firm's full potential. The solutions proposed can target cost reduction, efficient use of cash flow, efficient use of capital, and harvest value in unexplored routes to increase profit and gains.

In the second case, socially motivated activist shareholders are driven by social issues, such as recurring concerns about the environment, human rights, and employee welfare. Looking at socially-motivated activism, sustainability as a determining business phenomenon is on the rise and is a type of issue that may simply disappear from public consciousness over relatively long periods (Graves et al., 2001). Climate change has been translating into increased pressure from shareholders who are prepared to use their rights to influence firms' organisational practices, forcing them to change their ways in response to prevalent safety and environmental concerns and, consequently, countering the threat to the long-term reputation and visibility of firms in the environmental firing line (Monks et al., 2004; Cundill et al., 2018; Fisher and Nasrin, 2021). To this end, there is a substantial level of support for proposals that fall within the categories of both corporate social responsibility and corporate governance proposals (Chung and Tauliclar, 2010), which altogether can be decomposed into the ESG terminology (environmental, social and governance). Filing environmental-related resolutions by activist shareholders mainly targets industries with less than satisfactory environmental performance (Rehbein et al., 2004). Conversely, activist hedge funds may treat corporate social responsibility as wasteful endeavours that constrains shareholder value in the short run (DesJardine et al., 2021).

The trigger for shareholders to drive engagement in activism is connected with the degree of "exposure", which considers activist's motivation, the nature of the firm, and the national context (Judge et al., 2010). According to Rehbein et al. (2004), "activists file with corporations to increase the external attention that they receive", which can be one of the reasons why they prefer to target larger firms, even when smaller firms exhibit just as many issues. This could simply result from larger firms being more visible and more socially exposed (Sjöström, 2008). In other words, activist shareholders may file resolutions just to pursue their own agendas (Judge et al., 2010; Smith, 1996). The consequences of herding behaviour by activist investors are also higher in rapidly growing or declining industries (Boehner and Gold, 2014).

For shareholders to engage in activist behaviours, either financially or socially motivated, three main types of intervention are addressed in the literature (Cundill et al., 2018); namely, divestment of shares, dialogue with management, and shareholder proposals at general meetings. The demands from these activist shareholders can be categorised into three main areas (Klein and Zur, 2009; Cundill et al., 2018). Firstly, government-related issues, which aim to influence the management and the overall corporate governance mechanism in target firms. Secondly, demands concerning mergers and acquisitions can result in campaigns to restructure target firms

or take actions that encourage inorganic growth. The third area of intervention targets the firm itself, with activist campaigns usually demanding changes at the operational and strategical levels.

These different areas of intervention are linked to the different agendas of shareholders. Consequently, the current understanding of the consequences of activist actions is unclear and sometimes contradictory. This occurs from the rise in activism and the diversity of motives, demands, and proposals. We contribute to the literature by adding to the debate concerning the impact of shareholder activism on performance by disentangling the effects of an activist shareholder's participation in a firm and the nature of the proposals acting on the targeted firm's performance.

2.3. Hypotheses development

2.3.1. Shareholder activism and performance

Shareholder activists are a diverse group with disparate interests and motivations. Their voices and capacity for intervention are also dissimilar. To that end, the studies that address the relationship between shareholder activism and performance are equivocal, with some supporting the agency theory argument and others finding no support for such claims (Goranova and Ryan, 2014).

According to the agency theory argument, activist intervention intends to maximise shareholder value, and it occurs when shareholders are apprehensive about managers' decisions that may deviate from the value maximisation goal. However, some authors claim that understanding shareholder actions (or some types of shareholder) in terms of helping or hurting the company is a matter of controversy. For a start, understanding what "maximising shareholder value" means or how it can be maximised can diverge between managers and shareholders and among shareholders (Goldman, 2018). For example, some activists, such as hedge funds (*the Wolfs*), may be more concerned with the maximisation of their short-term gains. On the one hand, defenders of the "stock first" argument believe that maximising the short-term stock price of a firm is consistent with maximising shareholder value because the enhanced value of the company will follow (Lu, 2016). On the other hand, others point out that there is insufficient evidence to think that long-term value will occur and that these actions will benefit the firm's value or all its shareholders (Ertimur et al., 2010; Strine, 2017). According to the "value first" argument, the maximisation of shareholder value must precede any increase in the stock price (Mau-boussin, 2011). Some of the shareholder activist demands may threaten the value of the firm if those proposals are based on self-serving reasons or if activists do not possess adequate information to formulate adequate decisions.

Irrespective of what shareholders value primarily (stock price versus value), the motives are those outlined – that is to say, shareholder activism is driven by financial or social motives (Judge et al., 2010; Hadani et al., 2019). Financially-driven activism results in the pressurising of managers to act to eradicate the pitfalls and inefficiencies that affect the firm's financial performance – but also to pursue strategies that will enhance the firm's performance (David et al., 2007). Activist investors require higher and faster returns from target firms, even if achieved at the expense of other shareholders. This raises questions of a conflict of interests (Anabtawi and Stout, 2007). However, the actual question is whether this particular financial motive applies to all interventions and, furthermore, whether the firm benefits from the activist shareholder resolutions in terms of performance.

An analysis of the empirical studies carried out to date presents conflicting results – both in terms of the short-term and the long-term consequences of shareholder activism on target firms. Regarding stock returns, there is evidence that both short- and long-window abnormal stock returns are positively centred on the activist announcement and do not reverse (Swanson et al., 2022).

On the one hand, some studies find no substantial evidence that firms benefit from activist resolutions in terms of performance or market value (Karpoff et al., 1996), although performance can be influenced by the institutional context (Yeh, 2014) or the type of shareholder (Marler and Faugère, 2010). Nevertheless, some positive changes will likely result from such resolutions, directly or in their aftermath. The stock reaction is likely to be positive for successful targeting events (Smith, 1996), while performance improvement as a return on assets (ROA) may be combined with a decrease in leverage (Venkiteshwaran et al., 2010).

On the other hand, some studies point to the tendency for certain gains in performance or value to accrue, although these gains can be conditional on timing, ownership stake, the type of resolution, or the external context. Looking at proposals for the election of members of the board or amendments to the statutes, there is evidence of increased post-resolution operating performance (Graves et al., 2001). Shareholder value creation is also found in response to institutional investor activism on climate change (Kim and Lyon, 2011) and also ahead of block acquisitions, especially for active blocks (Clifford, 2008). However, institutional investors have selective preferences and may react by underweighting in stocks with low environmental and social performance (Nofsinger et al., 2019). When the findings of Gillan and Starks (2000), Venkiteshwaran et al. (2010), and Denes et al. (2017) are added to the mix, the argument is that the activism of special types of investor appears to have had slightly better success in obtaining positive results.

As stated, the evidence looking at the association between shareholder activism and performance is heterogeneous. Nevertheless, it seems clear that shareholder activists pursue their interventionist strategies to change the firm's management path by introducing new ideas and new processes designed to improve operations and enhance shareholder value. Alternatively, the reality could be that shareholder activists are simply out to make gains, even if these gains are not obtained immediately. What these interventions hold in common is that they play a role in reducing agency costs, they make the management more aware of their actions, and they all (supposedly) seek to improve the value of the firm (Thomas and Cotter, 2007). Considering the existing debate and a non-consensual view as to whether activist shareholders influence firms' performance, we propose the following as our first hypothesis:

Hypothesis 1. *The entry of activist shareholders influences firm performance.*

2.3.2. Different types of demand and performance

Activist interventions lead to a plethora of demands. These can vary but, ultimately, the goal is to improve performance and

shareholder value. To improve the target's performance, activists can demand cost reductions (Gillan & Starks, 2008; Westphal & Bednar, 2008), cutbacks on investments (Bebchuk et al., 2015), payment of more cash or dividends to shareholders (Chen and Feldman, 2018; Barros et al., 2021), and changes in the boardroom, such as replacing the CEO or other board members (Karpoff et al., 1996; Gantchev, 2013). In line with Thomas and Cotter (2007), we claim that those that propose shareholder wealth maximisation will receive greater support from other shareholders. In addition, similar to these authors, proposals that raise important issues will be regarded as more important and receive more support. Furthermore, the market reaction and wealth impact will vary according to the form of activism, the type of demand, and the beliefs (and information) that shareholders possess about the content of the proposals (Filatotchev and Dotsenko, 2015). It is, therefore, essential to sort the demands into groups in order to assess their influence on firm performance. Obviously, not all activist shareholder demands can effectively trigger enhanced firm performance, which may vary by type. The demand types may be classified into 3 main groups.

First, governance related, which aims to attain board representation or board control, as well as to activate shareholder rights protection, without structurally transforming the firm's business. The initiation of these proposals is more likely among firms that exhibit poor prior performance, although the evidence that performance improves after the campaigns is weak (Karpoff et al., 1996). On board issues, the literature found that activists target firms with high CEO pay and their campaigns target "say on pay" (Ferri and Sandino, 2009; Ertimur et al., 2011; Stathopoulos and Voulgaris, 2016). When the firm is experiencing a positive performance, it is more likely that CEO pay will increase (Ferri and Sandino, 2009), although the effect on the opposite direction is unclear (Stathopoulos and Voulgaris, 2016). Conversely, higher CEO pay makes firms more likely to be targeted by activists (Ertimur et al., 2011). Board representation and board control entail monitoring costs. Empirical evidence has estimated that a mean abnormal return on these demands ending in proxy fights is close to zero (Gantchev, 2013). Looking at earnings management behaviour, Ng et al. (2021) found that governance-related proposals lead to lower earnings management, which raises the question of whether performance is affected.

Second, demands may be M&A related. Concerning these deals, activists usually demand a force sale or oppose a sale, ask for a spin-off, or engage in hostile acquisitions. There is empirical evidence on abnormal returns, which is mainly explained by the ability of activists to force firms to engage in takeovers (Greenwood and Schor, 2009). The literature also documents a positive abnormal return in campaigns targeting the sale of assets (Greenwood and Schor, 2009). Moreover, on the stock market reaction, Del Guercio and Hawkins (1999) reported a negative abnormal return on proposals related to opposing a sale. Yet, the impact on performance is a question that remains unanswered.

Third, business-related demands are aimed at seeking alternatives or a different strategic direction. The shift in strategic direction may be at the cost of corporate social performance (David et al., 2007), especially in the long term for stakeholders not involved in the campaigns (DesJardine and Durand, 2020), while the effect on corporate financial performance is not well understood in the literature. However, the literature argues that hedge fund activists decrease the complexity of strategic actions compared to corporate shareholder activists, which may be related to their different target horizons (DesJardine et al., 2022).

The literature has not yet combined all types of demand into a single study (Klein and Zur, 2009; Chung and Talaulicar, 2010; Cundill et al., 2018). Instead, there have been major studies focusing on governance issues (Wu, 2004; Gantchev, 2013), investments (David et al., 2001; Bebchuk et al., 2015), and the takeover market (Gillan and Starks, 2007), to name a few. Furthermore, there is an increasing heterogeneity in shareholder activism (Benton and You, 2019; Cavich, 2022) that is more active in the digital era (Hafeez et al., 2022), which raises the need to better understand the consequences of each type of demand. Therefore, we propose the following hypothesis:

Hypothesis 2. *The influence of the entry of activist shareholders on performance is affected by the type of demand from shareholder activists.*

3. Data and methodology

3.1. Data selection

To analyse the impact of shareholder activism on firms' performance, we collected data from US firms from 2000 to 2019. Data on shareholder proposals were collected from the "Corporate Governance Market Overview", a subsection of Thomson Reuters Eikon. The data obtained included information on the campaigns of activist shareholders, such as the announcement date, the activist shareholder responsible for the proposal, the target firm, the status of the proposal, and the investor's specific demands. The data were then cross-checked to ensure reliability by searching online for a sample of specific campaigns in our list.

The initial list of activist campaigns was collected from Refinitiv Eikon, a subsection of "Thomson Reuters Corporate Governance Intelligence", labelled as "Corporate Governance Market Overview". The list comprises all activist campaigns covered by the database and includes more than 4700 activist campaigns worldwide since 1987. This list contained campaigns from different geographic locations, although we focused exclusively on target firms whose head offices were located in the US. The reason for restricting our analysis to US-based firms is twofold. Firstly, we limit the influence of country-level variability on the outcome (Sauerwald et al., 2013; Almaskati et al., 2020). Secondly, approximately 70% of the campaigns listed in the "Corporate Governance Market Overview" contain firms whose head offices are located in the US. This concentration leaves relatively few events from non-US countries that could generalise findings to countries with a different cultural landscape, socioeconomic institutions, and a variety of governance models (Shin and You, 2020). Moreover, proposal submissions are still infrequent in countries other than the US (Cziraki et al., 2010). Indeed, an ineffective control for the institutional setting of countries other than the US would not make our results any more generalizable. Thus, we opted to restrict our analysis to US-based firms that were campaign targets to strengthen consistency in interpreting our findings. Activist campaigns have been on the rise since the 2000 s, with the number of proposals submitted increasing year on year,

rising to maximum levels in recent years with more than 200 proposals filed in the US alone (Fig. 1), according to our initial database. However, the data include more than one campaign for each target firm.

The sample period is from 2000 to 2019, although the campaigns themselves only ran from 2002 to 2017. The sample selection process considers all data available in the period under analysis. To ensure the efficient tracking of each firm during the years before and after the first activist campaign, the sample selection ensures data availability at least for the range of $t-2$ to $t+2$, with t representing the campaign year. However, the sample selection yields a longer period for some firms. At least 5 years of data are available for all firms. Yet, for at least 90% of firms, data are available for at least 10 years. Firms in the financial sector have been excluded because dissimilar variables drive profitability, and these firms are usually explored separately in the literature on finance. The final sample comprises 5105 firm-year observations of 320 unique firms that were the target of activist campaigns in the US. In the robustness analysis, the sample is restricted to the period of $t-2$ to $t+2$, which reduces the sample to 1600 firm-year observations. A visual inspection in Fig. 2 shows that performance drops in years preceding the activist campaigns, and a recovery is shown in the two years following the campaign. Nevertheless, the question remains as to whether shareholder activism can effectively return better performance to shareholders, which may well depend on the type of proposal.

The main objectives in activist shareholder demands in our sample cover three main areas of intervention: governance-related (9.4% board control, 36.9% board representation, 15.3% shareholder rights); M&A-related (2.2% force a sale, 1.0% oppose a sale, 1.9% spin-off, 2.2% hostile acquisition); and business-related (28.4% seek alternatives, 2.8% strategic direction).

Board control is a demand aimed at securing control of the board of directors, which usually means replacing the CEO and other board members. The 13D filing on the Wegener Corp in December 2005 is an example where a group of activist shareholders led by Henry Partners, holding 7.9% of the capital in Wegener, mailed a proxy to all shareholders requesting that the firm's poison-pill plan be revoked, that two new members be nominated to the board, and that the CEO's option plan, recently granted, be rescinded.

Board representation relates to activist campaigns seeking to secure better representation on the board by having new directors appointed. One of our examples is Jana Partners LLC's entry into Bristol-Myers Squibb Co. as significant shareholders in the fourth quarter of 2016. The move led the US drugmaker to appoint three new directors to the board in early 2017 after talks with the activist investor.

Shareholder rights is a campaign where activists demand that shareholder rights are honoured. The focus could be on granting the right to call a special meeting, to demand an independent audit, or to force the firm to undertake various other actions consistent with the claimed rights. Our sample includes the Carl Icahn pressure campaign directed at Apple in 2013, demanding that the management increase shareholder returns through a buyback programme.

Force sale involves campaigns in which shareholders intervene to force the sale or the merger of the target firm. One instance in our sample is the Whirlpool Corporation acquisition of Indesit Company S.p.A. in 2014. The deal was forced through by activist shareholders led by Amber Capital, which demanded that Indesit, a family-controlled Italian company, widen the scope of its operations and expand beyond its main markets.

Oppose sale is the opposite of *force sale*, where a campaign is launched to demand that the target firm nullify a proposed sale or merger. Western Digital Corporation is a case in point. The firm struggled to acquire SanDisk Corporation after Alken Asset Management Ltd. disclosed its intent to vote against the stock issuance that the firm would require to complete the deal.

Hostile acquisition involves activists demanding that the firm ramps up an ongoing hostile takeover attempt or embarks on a

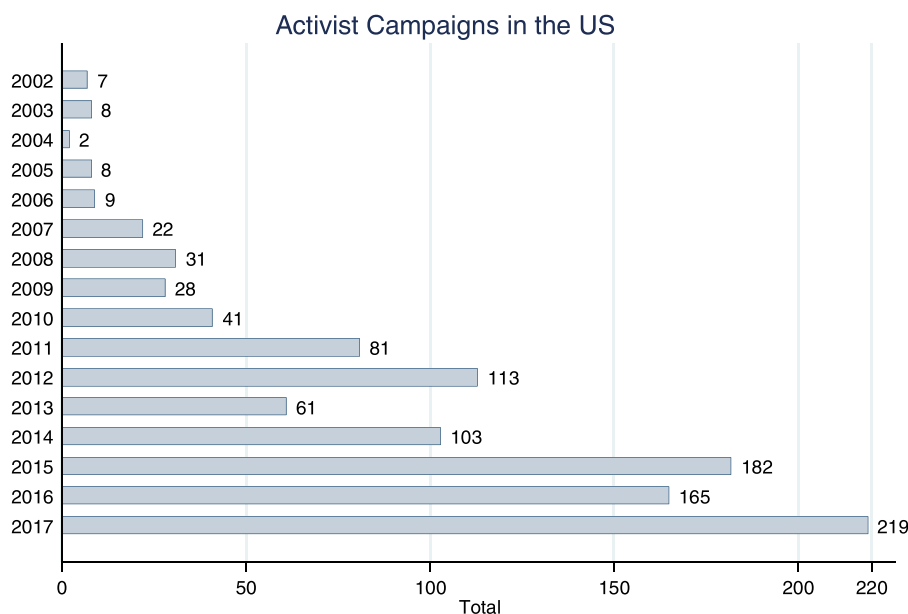


Fig. 1. Evolution of Activist Campaigns in the US That are Listed in Thomson Reuters.

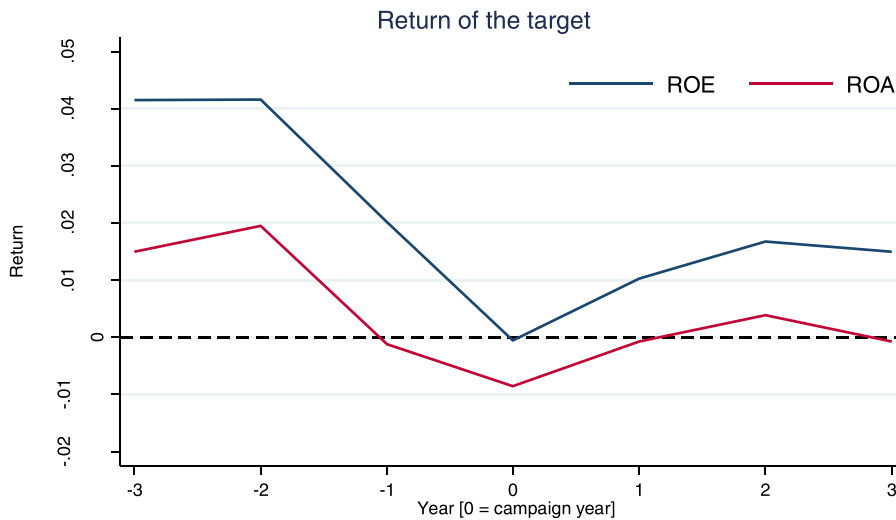


Fig. 2. Return of the Target Firm in Years Surrounding the Activist Campaign. The figure computes the average performance in each of the years surrounding the activist campaign ($t-3$ to $t+3$), in which $t=0$ is the campaign year. Data is collapsed by mean.

campaign to take out a new takeover target. The sample includes campaigns such as the hostile attempt of Matrixx Initiatives Inc. to acquire ProPhase Labs Inc. in 2012, which involved the former acquiring options and engaging a former CEO of the target.

Spin-off is where activists demand the target firm sell the entire company or spin-off business units or subsidiaries. Our sample includes the board of Timken Company, who agreed to split the company in two, separating the steel business from its industrial operations, following pressure from activist investors.

Seek alternatives is a demand where activists search for alternatives through dialogue with the management team with the aim of delivering greater value to shareholders. Our sample includes the move by activist investor Nelson Peltz to make his fund one of the top shareholders in General Electric Co in 2015 and to use that position to issue a series of recommendations rather than make assertive demands.

Strategic direction involves activist demands for the target firm to shift strategic direction. Our sample includes another move by Carl Icahn, this time taking a stake in Netflix Inc. in 2012 and demanding a new strategic direction involving the DVD-by-mail rental service and online streaming.

3.2. Research design and variables measurement

Table 1 contains the variable definitions. The dependent variable is each firm's return on equity (ROE). The ROE captures firm performance from the perspective of shareholders, as it is calculated as the net income divided by the book value of equity. For robustness purposes, we used return on assets (ROA), which is defined as the ratio between net income and total assets and is intended to measure performance from the perspective of the firm. Both variables are truncated at -1 and $+1$ in order to remove the effect of extreme values for the ratio. Furthermore, all firms presenting negative equity were excluded because the ROE would be misleading otherwise. The average firm delivers an ROE of 4.0%, an ROA of 1.7% through moderate leverage, and an average debt-to-equity ratio (D/E) of 0.72. Nevertheless, the ROE demonstrates relevant variability, even after removing extreme observations. Similar to other papers studying the consequences of activist campaigns (e.g., Barros et al., 2021), we used the following econometric model with a fixed-effects specification for firm and year:

$$Y_{it} = b_0 + \alpha \text{Activism}_{it} + \theta \text{Firmcontrols}_{it} + \mu_{it} \quad (1)$$

where the variable *Activism* is used to analyse the impact of shareholder activism on profitability. This variable assumes the value of one from the year of the first activist shareholder entry onwards, and zero before.

For robustness purposes, we used a dummy variable, which captures the effect of the activist shareholder in the entry year ($T0$) and one and two years after ($T1$ and $T2$, respectively). These time dummies aim to narrow the effect on profitability in the defined years after the entry of the activist shareholder. The actions by activists may not yield performance changes immediately (Brav et al., 2015), so the base case coupled with the variable *Activism* will not determine whether an effect is time sensitive.

A set of firm-specific variables is included as controls in this study. We used *Size* (the log of the value of total assets) to control for the firm's dimension because larger firms tend to deliver better performance as a consequence of scale (Yeh, 2017). We also controlled for leverage, which is captured by the *D/E* ratio (the debt-to-equity ratio). Firms with more debt can deliver better performance, due to the benefits of leveraging the debt to amplify returns and from the incentive to repay that comes from the very fact of holding debt. We also controlled for the firm's operational profitability (measured by *EBITDA* margin), together with the firm's capital intensity, which is measured by the *PP&E* variable (Property, Plant, & Equipment). The market valuation of firms is controlled by the *Market/Book*

Table 1
Definition of variables.

Variable	Description
<i>Dependent variables</i>	
ROE	ROE is the firm's return on equity, measured as the ratio between net income and the book value of equity. Firms presenting negative equity are excluded. The variable is truncated at -1 and $+1$.
ROA	ROA is the firm's return on assets measured as the ratio between net income and total assets. The variable is truncated at -1 and $+1$.
<i>Activism</i>	
Activism	Activism is a treatment variable that takes the value of one from the year of the first activist campaign on firm i onwards, and zero otherwise.
T0	T0 is a dummy variable taking the value of one in the year of the activist campaign, and zero otherwise.
T1	T1 is a dummy variable taking the value of one a year after the activist campaign, and zero otherwise.
T2	T2 is a dummy variable taking the value of one for the second year after the activist campaign, and zero otherwise.
Treatment	Treatment is a dummy variable taking the value of one if the firm in the sample is targeted by an activist campaign, regardless of the year. This variable is only used for robustness in the DiD approach.
<i>Demands⁽¹⁾</i>	
Board Control	Dummy variable taking the value of one if the activists demand control of the board, and zero otherwise. Examples of shaping the control of the board include replacing the CEO or another board member.
Board Representation	Dummy variable taking the value of one if the activists demand to have board representation for the activist shareholders, and zero otherwise.
Shareholder Rights	Dummy variable taking the value of one if the activists demand to ensure shareholders' rights, and zero otherwise. Shareholder rights focus on the ability to grant the right to call a special meeting, an independent audit, and other actions.
Force Sale	Dummy variable taking the value of one if the activists make the demand to force a sale, and zero otherwise. In the cases where forcing a sale is demanded, activist shareholders intervene to force the sale or the merger of the target firm.
Oppose Sale	Dummy variable taking the value of one if the activists make the demand to oppose a sale, and zero otherwise. Contrary to forcing a sale, these campaigns demand that a sale or merger of the target firm is not effected.
Hostile Acquisition	Dummy variable taking the value of one if the activists make the demand to engage in a hostile takeover of both an ongoing attempt or to foster further takeover activity, and zero otherwise.
Spin-off	Dummy variable taking the value of one if the activists demand the target firm sell itself or spin off business units or subsidiaries, and zero otherwise.
Seek Alternatives	Dummy variable taking the value of one if the activists demand that alternatives be sought through dialogue with the management team aimed at benefiting shareholders and delivering them greater value, and zero otherwise.
Strategic Direction	Dummy variable taking the value of one if the activists demand a shift in strategic direction, and zero otherwise.
<i>Control variables</i>	
Size	Size captures the firm's size and is measured by the log of the firm's total assets.
D/E	D/E is a proxy for leverage, being set as the ratio of debt-to-equity. The variable is winsorized at 0.5%.
EBITDA	EBITDA margin is measured as earnings before interest, taxes, depreciation, and amortisation (EBITDA) scaled by revenues. The ratio is winsorized at 1.0%.
PP&E	Property, Plant & Equipment (PP&E) is a proxy for capital intensity. The variable is computed as PP&E over the firm's total assets and is winsorized at 0.5%.
Market/Book	Market to Book is the market ratio that measures the relationship between equity at market values and the corresponding book value. The variable is winsorized at 0.5%.
Book ETR	Book ETR is the book effective tax rate (ETR). The variable is set as income tax scaled by pre-tax profits and is winsorized at 0.5%.
N. Analysts	N. Analysts is the number of sell-side analysts covering the firm each year.

⁽¹⁾ See examples of each demand type in [Section 3](#).

variable (the firm's market value divided by its corresponding book value). Finally, we controlled for the firm's effective tax rate (*Book ETR*) because taxation naturally impacts a firm's returns and performance ([Jacob and Jacob, 2013](#)). The number of analysts following each firm was used (*N. Analysts*), as several other studies in corporate finance have done ([DeAngelo et al., 2000](#); [Barros et al., 2020, 2021](#); [Ham et al., 2020](#)). As for robustness, the number of analysts was used as a logarithm, although our initial results hold good for the most part. [Table 1](#) presents the dependent variables and the explanatory and control variables. The descriptive statistics are presented in [Table 2](#).

To first analyse the data, [Table 3](#) presents a hypothesis test for the difference of mean before and after the activist campaigns. Surprisingly, firm performance is lower after the activist campaigns, and this difference is statistically negative. [Table 4](#) presents the correlation matrix with which firms' performance is mainly associated with firms' size, EBITDA margin, and the number of analysts following. The latter is consistent with the body of literature claiming a pressuring role of sell-side analysts over firms' performance ([Gao et al., 2017](#)). No relevant multicollinearity concern arises from this univariate analysis. The usual econometric diagnostic tests were performed (multicollinearity, Wald test, omitted variables test), and robust standard errors were used to circumvent heteroscedasticity. These tests are not formally presented for reasons of parsimony.

Table 2
Descriptive statistics.

	N	Mean	St. Dev	Q1	Median	Q3
<i>Dependent Variables</i>						
ROE	5105	0.040	0.235	-0.028	0.075	0.158
ROA	5105	0.017	0.122	-0.013	0.035	0.074
<i>Activism</i>						
Activism	5105	0.391	0.488	0.000	0.000	1.000
Activism × T0	5105	0.063	0.242	0.000	0.000	0.000
Activism × T1	5105	0.063	0.242	0.000	0.000	0.000
Activism × T2	5105	0.063	0.242	0.000	0.000	0.000
<i>Controls</i>						
Size	5105	20.44	2.304	18.72	20.33	22.09
D/E	5105	0.720	1.627	0.010	0.325	0.824
EBITDA	5105	0.094	0.334	0.047	0.113	0.196
PP&E	5105	0.257	0.245	0.071	0.165	0.368
Market/Book	5105	2.824	3.075	1.230	1.982	3.264
Book ETR	5105	0.183	0.756	0.026	0.297	0.373
N. Analysts	5105	8.460	9.469	1.000	5.000	13.00
<i>Demands</i>						
Board Control	5105	0.093	0.291	0.000	0.000	0.000
Board Representation	5105	0.370	0.483	0.000	0.000	1.000
Force Sale	5105	0.021	0.145	0.000	0.000	0.000
Hostile Acquisition	5105	0.023	0.150	0.000	0.000	0.000
Oppose Sale	5105	0.011	0.102	0.000	0.000	0.000
Seek Alternatives	5105	0.270	0.444	0.000	0.000	1.000
Shareholder Rights	5105	0.161	0.368	0.000	0.000	0.000
Spin-off	5105	0.023	0.148	0.000	0.000	0.000
Strategic Direction	5105	0.028	0.164	0.000	0.000	0.000

The table presents descriptive statistics for all variables.

Table 3
Differences with the activist campaign.

Variable	N	After (Activism)	Before	Difference (After – Before)
ROE	5105	0.026 (0.006)	0.049 (0.004)	-0.023 * ** (0.007)
ROA	5105	0.009 (0.003)	0.022 (0.002)	-0.013 * ** (0.003)
Size	5105	20.55 (0.051)	20.37 (0.041)	+ 0.181 * ** (0.066)
D/E	5105	0.820 (0.040)	0.656 (0.027)	+ 0.163 * ** (0.047)
EBITDA	5105	0.092 (0.007)	0.096 (0.006)	-0.003 (0.010)
PP&E	5105	0.256 (0.006)	0.257 (0.004)	-0.001 (0.007)
Market/Book	5105	2.872 (0.069)	2.794 (0.055)	+ 0.078 (0.088)
Book ETR	5105	0.136 (0.020)	0.213 (0.011)	-0.077 * ** (0.022)
N. Analysts	5105	8.884 (0.221)	8.188 (0.165)	+ 0.696 * ** (0.271)

This table presents the difference between the period before and after the activist campaigns. The symbols *, **, and *** represent significance levels of 10%, 5%, and 1%, respectively. The symbols presented are for a one-tailed test.

4. Results and discussion

4.1. Activist campaigns and profitability

To understand whether activist campaigns give rise to increased profitability, we ran Eq. (1), using a fixed-effects specification for both firm and year. Column (1) of Table 5 presents the results of our primary analysis. Surprisingly, the negative coefficient suggests that activist campaigns are associated with a decrease in profitability. Shareholder activists claim that they carry out a positive role in

Table 4
Correlations.

Variables	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
(1) ROE	1.000								
(2) ROA	0.886 *	1.000							
(3) Size	0.318 *	0.261 *	1.000						
(4) D/E	0.069 *	-0.004	0.271 *	1.000					
(5) EBITDA	0.431 *	0.529 *	0.321 *	0.118 *	1.000				
(6) PP&E	0.051 *	0.055 *	0.261 *	0.193 *	0.255 *	1.000			
(7) Market/Book	0.205 *	0.129 *	0.076 *	0.159 *	0.034 *	-0.119 *	1.000		
(8) Book ETR	0.073 *	0.071 *	0.092 *	0.020	0.067 *	0.046 *	-0.001	1.000	
(9) N. Analysts	0.251 *	0.208 *	0.742 *	0.094 *	0.265 *	0.147 *	0.230 *	0.049 *	1.000

This table presents the correlation matrix. The symbol * represent the significance level of 10%.

Table 5
Profitability (ROE) following activist campaigns – full sample.

	(1)	(2)	(3)	(4)
	<i>All Period</i>	<i>t = 0</i>	<i>t = 1</i>	<i>t = 2</i>
Activism	-0.026 * ** (0.009)			
Activism × T0		-0.023 * * (0.011)		
Activism × T1			-0.017 (0.012)	
Activism × T2				-0.016 (0.012)
Size	0.014 (0.009)	0.009 (0.008)	0.009 (0.008)	0.009 (0.008)
D/E	-0.005 (0.008)	-0.005 (0.008)	-0.005 (0.008)	-0.005 (0.008)
EBITDA	0.262 * ** (0.029)	0.262 * ** (0.029)	0.262 * ** (0.029)	0.262 * ** (0.029)
PP&E	-0.287 * ** (0.055)	-0.285 * ** (0.055)	-0.284 * ** (0.055)	-0.284 * ** (0.055)
Market/Book	0.013 * ** (0.003)	0.013 * ** (0.003)	0.013 * ** (0.003)	0.013 * ** (0.003)
Book ETR	-0.001 (0.005)	-0.001 (0.005)	-0.001 (0.005)	-0.001 (0.005)
N. Analysts	-0.001 (0.001)	-0.001 (0.001)	-0.001 (0.001)	-0.001 (0.001)
Constant	-0.217 (0.178)	-0.113 (0.167)	-0.112 (0.169)	-0.113 (0.168)
Obs.	5105	5105	5105	5105
Adj. R-squared	0.142	0.139	0.139	0.139
F	18.441	18.688	17.918	18.012
Year FE	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes

This table presents the main results for the assessment of the association between activist shareholders' campaigns and firms' profitability. The sample allows firms to add observations beyond the period $t-2$ to $t+2$, thus enabling a broader period for the treatment effect. The dependent variable is the firm's ROE. Robust standard errors are in brackets, and the symbols *, **, and *** represent significance levels of 10%, 5%, and 1%, respectively.

forcing operational and strategical decisions (Brav et al., 2008) that enhance efficiency and yield greater returns. Our results suggest the opposite. The variable *Activism* captures all the years following the first activist campaign.

Next, we restrict our analysis in column (2) by interacting the variable *Activism* with the period $T0$. The latter assumes the value of one for the year of the first campaign, leaving the interaction for the remaining years with the value of zero. Columns (3) and (4) adopt a similar approach and measure the effectiveness of campaigns for both the year after the campaign ($T1$) and two years later ($T2$). Therefore, the *Activism* variable in column (1) captures the entire period from the activist campaign onwards, while in column (2) the variable $T0$ takes the value of one only for the year of the campaign and zero otherwise. Thus, the interaction *Activism* × $T0$ searches for the influence on firms' performance only in the year of the activist campaign. Next, *Activism* × $T1$ captures the effect on performance exclusively from the year after the activist campaign, while *Activism* × $T2$ narrows the analysis to the second year after the campaign to accommodate the potential lag of these corporate actions in spilling over to performance metrics.

Shareholder activism can exert pressure on management to implement short-term restructuring to boost long-term growth, which tends to jeopardise lucrative performances in the short term. The results in Table 3 partially support this rationale. Overall, ROE decreased by approximately 3% following activist campaigns, representing the major effect for the $T0$ of such campaigns. That is to

say, the immediate effect of activist campaigns on performance is negative, the effect in the year of the campaign ($T0$) being larger than the aggregate effect in column (1).

Consistent with existing empirical evidence, larger firms are associated with better returns for shareholders. Furthermore, the *EBITDA* margin, which measures operational performance, is a proxy that is positive in cases of profitability. Multiples for a firm's book value highlight how the market currently values the firm's growth potential and, therefore, it is not surprising that *Market/Book* has a positive association with the profitability reported in a firm's accounts. Financial analysts can exert opposing effects on firms. There is, for example, a stream of extant literature that supports the view that analysts exercise no more than a fairly benign monitoring role. In contrast, an alternative view considers analysts as a source of sustained pressure on managers to attain the performance levels projected in the financial analysis.

Activism accounts for all the years following the first activist campaign. For some firms, data is available beyond the range $t-2$ to $t+2$, and variability exists across firms. However, as part of the robustness analysis, we restricted our sample to the period of $t-2$ to $t+2$, before and after the activist campaign. From this point in the study onwards, all analyses are run on a restricted sample. The results in Table 6 support the previous conclusions. ROE measures the accounting return to shareholders and is dependent on capital structure decisions, in addition to operational performance. Constraints on the funding of target firms can drive shareholder activism. Furthermore, the reputation and size of shareholder participants in campaigns can enable target firms to gain access to funding sources that they would not otherwise be able to access. One could argue that our results are biased towards leverage effects. Therefore, we performed an additional robustness analysis to address this potential issue. In Table 7, the firm's profitability is measured from the firm perspective and is proxied by ROA, with the results being similar for the *Activism* variable, which again suggests that profitability decreases in the short term.

4.2. Types of demand in activist campaigns

While profitability appears to decrease in the first year of the campaign ($T1$), there is no relevant association afterwards. We suspect that our results provide an explanation for two consequences. Firstly, firms targeted by shareholder activism can be pressured to implement post-intervention strategies regarding restructuring activities in the period immediately following activist campaigns (Klein and Zur, 2009), although the benefits from this restructuring may not manifest themselves quickly. If our analysis had been carried out over a longer time span, it could well have revealed a crossover point where the coefficient for *Activism* switches and becomes

Table 6
Profitability (ROE) following activist campaigns – restricted sample.

	(1)	(2)	(3)	(4)
	<i>All Period</i>	$t = 0$	$t = 1$	$t = 2$
Activism	-0.019 *			
	(0.011)			
Activism $\times$ $T0$		-0.015		
		(0.010)		
Activism $\times$ $T1$			-0.008	
			(0.012)	
Activism $\times$ $T2$				-0.006
				(0.012)
Size	0.054	0.052	0.052	0.052
	(0.039)	(0.038)	(0.039)	(0.039)
D/E	-0.024 *	-0.025 *	-0.025 *	-0.024 *
	(0.014)	(0.014)	(0.014)	(0.014)
EBITDA	0.244 * **	0.246 * **	0.247 * **	0.248 * **
	(0.073)	(0.073)	(0.073)	(0.072)
PP&E	-0.586 * **	-0.589 * **	-0.585 * **	-0.584 * **
	(0.138)	(0.138)	(0.138)	(0.138)
Market/Book	0.018 * **	0.018 * *	0.018 * *	0.018 * **
	(0.007)	(0.007)	(0.007)	(0.007)
Book ETR	0.009	0.009	0.009	0.010
	(0.010)	(0.010)	(0.010)	(0.010)
N. Analysts	-0.001	-0.000	-0.000	-0.000
	(0.003)	(0.003)	(0.003)	(0.003)
Constant	-0.980	-0.938	-0.946	-0.950
	(0.808)	(0.798)	(0.802)	(0.803)
Obs.	1600	1600	1600	1600
Adj. R-squared	0.116	0.115	0.114	0.114
F	5.592	5.719	5.515	5.521
Year FE	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes

This table presents a restricted sample as a robustness analysis. The sample is confined to the period $t-2$ to $t+2$, restricting the variability in the outcome variable for the years before and after the activist campaign. Thus, the sample is restricted to 5 observations for each of the 320 firms targeted by activist campaigns. The dependent variable is the firm's ROE. Robust standard errors are in brackets, and the symbols *, **, and *** represent significance levels of 10%, 5%, and 1%, respectively.

Table 7
Profitability (ROA) following activist campaigns – full sample.

	(1)	(2)	(3)	(4)
	<i>All Period</i>	<i>t = 0</i>	<i>t = 1</i>	<i>t = 2</i>
Activism	-0.015 * ** (0.004)			
Activism × T0		-0.016 * * (0.006)		
Activism × T1			-0.010 * (0.006)	
Activism × T2				-0.008 (0.006)
Size	0.008 * (0.004)	0.005 (0.004)	0.004 (0.004)	0.004 (0.004)
D/E	-0.005 * * (0.002)	-0.006 * * (0.002)	-0.006 * * (0.002)	-0.006 * * (0.002)
EBITDA	0.195 * ** (0.020)	0.195 * ** (0.020)	0.195 * ** (0.020)	0.196 * ** (0.020)
PP&E	-0.145 * ** (0.027)	-0.144 * ** (0.027)	-0.143 * ** (0.027)	-0.143 * ** (0.027)
Market/Book	0.004 * ** (0.001)	0.004 * ** (0.001)	0.004 * ** (0.001)	0.004 * ** (0.001)
Book ETR	-0.001 (0.003)	-0.001 (0.003)	-0.001 (0.003)	-0.001 (0.003)
N. Analysts	-0.001 * (0.000)	-0.001 * (0.000)	-0.001 * (0.000)	-0.001 * (0.000)
Constant	-0.115 (0.084)	-0.057 (0.081)	-0.056 (0.081)	-0.055 (0.081)
Obs.	5105	5105	5105	5105
Adj. R-squared	0.229	0.227	0.226	0.226
F	21.563	21.577	20.299	20.379
Year FE	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes

This table presents the main results for the assessment of the association between activist shareholders' campaigns and firms' profitability. The sample allows firms to add observations beyond the period t-2 to t + 2, thus enabling a broader period for the treatment effect. The dependent variable is the firm's ROA. Robust standard errors are in brackets, and the symbols * , * * , and * ** represent significance levels of 10%, 5%, and 1%, respectively.

statistically positive. However, due to the lack of availability of comparative data beyond t + 2 of our balanced dataset, it was not feasible to reach this crossover point. Secondly, often activist shareholders are looking for a cash return on their investments. As an accounting measure, ROE does not play a significant role in ensuring a return on investment throughout the campaign. Activist shareholders are subject to risk during each campaign, although recovering a portion of the cash invested expeditiously can function as a risk management mechanism. The firm's dividend policy can also play a role in risk mitigation (Ahmad et al., 2018; Barros et al., 2020, 2021). Graves et al. (2001) tentatively addressed this issue by suggesting an increase in buybacks and dividend pay-outs during the post-resolution period. In addition, Klein and Zur (2009) reported that a frequent demand is the buyback option when the activists are hedge funds. The type of demand can also exert a variable effect on profitability, where the aims of one campaign can differ from the other on the timing of implementation and the intensity of change.

Building on the second issue, we derive an additional analysis in the form of looking at the types of demand made by activist shareholders in each of the 320 campaigns in our sample. This analysis is related to our second hypothesis and is performed because the data available allow us to carry out an incursion into a parallel yet relevant topic. Interaction terms are added to Eq. (1) for each of the nine types of campaign, namely: seeking board control, board representation, or protecting shareholder rights, which are governance-related demands; M&A-related demands to force a sale, demands to oppose a sale, spin-off, or engaging in hostile acquisitions; and business-related demands, such as seeking alternatives or demanding a shift in strategic direction. Our analysis has defined each type according to the primary demand established for each campaign, although campaigns may not necessarily be mutually exclusive in their goals. The results of this additional analysis are presented in Table 8.

Our base estimation in Column (1) of Table 5 pointed to a contraction of 2.9% in ROE following the activist campaigns. The results in Table 8 and Table 9 suggest that the campaigns mainly focused on demanding change in strategic direction or obtaining board control augment the decline in profitability for shareholders by an additional 6.5% and 12.0%, respectively. The result on the strategic direction type of demand is aligned with the work of David et al. (2007) and DesJardine and Durand (2020), while board control adds to the discussion in the existing literature. The argument for a negative effect on performance from activist campaigns that are of the board-control type is due to the increased monitoring cost that filches side benefits on performance (Gantchev, 2013) or that limits the ability to manage earnings (Ng et al., 2021).

Nevertheless, seeking board representation is the only demand type that effectively enhances the profitability of the target firms, which offsets the overall negative effect by about 0.4%. The extant literature is scarce on the board representation issue, and there is no clear understanding of whether board control is superior in monitoring than board representation and may yield different effects on

Table 8

Profitability (ROE) and type of demand by activist campaigns – full sample.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Activism	-0.020 ** (0.009)	-0.044 *** (0.011)	-0.027 *** (0.009)	-0.024 *** (0.009)	-0.025 *** (0.009)	-0.025 ** (0.010)	-0.027 *** (0.010)	-0.025 *** (0.009)	-0.023 *** (0.009)	-0.037 *** (0.012)
Activism × Board Control	-0.062 ** (0.025)									-0.045 * (0.026)
Activism × Board Representation		0.046 *** (0.017)								0.039 ** (0.017)
Activism × Force Sale			0.062 (0.064)							
Activism × Hostile Acquisition				-0.075 (0.053)						
Activism × Oppose Sale					-0.139 ** (0.059)					
Activism × Seek Alternatives						-0.003 (0.018)				
Activism × Shareholder Rights							0.008 (0.021)			
Activism × Spin-off								-0.041 (0.056)		
Activism × Strategic Direction									-0.108 ** (0.043)	
Obs.	5105	5105	5105	5105	5105	5105	5105	5105	5105	5105
Adj. R-squared	0.144	0.145	0.142	0.142	0.143	0.142	0.142	0.142	0.144	0.145
F	17.726	17.088	16.479	16.818	16.456	16.482	16.405	16.402	17.421	16.265
Other Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

This table presents the results for the type of demand by activist shareholders. The interactions with the Activism variable account for the main types of demands set by activist shareholders in their campaigns, as follows: *Board Control* refers to the aim of activist shareholders to control the board of directors; *Board Representation* refers to campaigns with the primary aim of seeking board representation; *Force Sale* and *Oppose Sale* refer to demands to force or constrain the transactions of the target firm; *Hostile Acquisition* aims to persuade the target firm to engage in hostile acquisitions; *Seek Alternatives* concerns actions of dialogue with management for the benefit of shareholders with the objective of delivering greater value; *Shareholder Rights* focus on the ability to grant the right to demand a special general meeting, independent audit, and other activities; *Spin-off* is the demand for target firms to sell themselves or to spin off units and; *Strategic Direction* demands a shift in strategic direction. The dependent variable is the firm's ROE. Robust standard errors are in brackets, and the symbols *, **, and *** represent significance levels of 10%, 5%, and 1%, respectively.

Table 9

Profitability (ROA) and type of demand by activist campaigns – full sample.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Activism	-0.011 ** (0.004)	-0.024 *** (0.005)	-0.016 ** (0.004)	-0.015 *** (0.004)	-0.014 *** (0.004)	-0.016 *** (0.005)	-0.013 *** (0.005)	-0.014 *** (0.004)	-0.014 *** (0.004)	-0.019 *** (0.005)
Activism × Board Control	-0.035 ** (0.016)									-0.027 * (0.016)
Activism × Board Representation		0.023 *** (0.008)								0.018 ** (0.008)
Activism × Force Sale			0.055 (0.041)							
Activism × Hostile Acquisition				-0.008 (0.012)						
Activism × Oppose Sale					-0.097 *** (0.027)					
Activism × Seek Alternatives						0.005 (0.008)				
Activism × Shareholder Rights							-0.009 (0.008)			
Activism × Spin-off								-0.028 (0.030)		
Activism × Strategic Direction									-0.046 * (0.023)	
Obs.	5105	5105	5105	5105	5105	5105	5105	5105	5105	5105
Adj. R-squared	0.232	0.232	0.231	0.229	0.231	0.229	0.230	0.230	0.231	0.233
F	19.761	19.740	19.194	22.593	19.305	19.294	19.419	19.229	19.829	18.048
Other Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

This table presents the results for the type of demand by activist shareholders. The interactions with the Activism variable account for the main types of demands set by activist shareholders in their campaigns, as follows: *Board Control* refers to the aim of activist shareholders to control the board of directors; *Board Representation* refers to campaigns with the primary aim of seeking board representation; *Force Sale* and *Oppose Sale* refer to demands to force or constrain the transactions of the target firm; *Hostile Acquisition* aims to persuade the target firm to engage in hostile acquisitions; *Seek Alternatives* concerns actions of dialogue with management for the benefit of shareholders with the objective of delivering greater value; *Shareholder Rights* focus on the ability to grant the right to demand a special general meeting, independent auditing, and other activities; *Spin-off* is a demand for target firms to sell themselves or to spin off units and; *Strategic Direction* demands a shift in strategic direction. The dependent variable is the firm's ROA. Robust standard errors are in brackets, and the symbols *, **, and *** represent significance levels of 10%, 5%, and 1%, respectively.

performance. The results suggest that monitoring costs are fairly low in board representation (Gantchev, 2013; Stathopoulos and Voulgaris, 2016), which is, therefore, not a mechanism to hamper collecting performance that is expected following the activist campaign. Similar results were found for excluding the effect of capital structure decisions on firm profitability. For robustness, we present the analysis for the ROA as a proxy for profitability in Table 9, and the results are maintained.

Building on the opposite effect of the two governance-related types of demand, we combined these effects in column (10) of both tables. Results remain unchanged from the previous analyses in columns (1) and (2), reinforcing the monitoring cost argument. That is to say, demanding board representation enhances firm performance, although a more challenging form of governance demand – complete board control – jeopardises firm performance.

4.3. Robustness tests

Similar to other studies (e.g., Farag and Mallin, 2018), to tackle potential endogeneity, we perform a Generalised Method of Momentums (GMM) approach to estimate a dynamic version of the base model (Arellano and Bover, 1995; Blundell and Bond, 1998) with two main purposes in mind: i) to capture the trends that may trigger activist shareholder actions, and ii) to account for the delay effect in implementing measures to boost firm profitability. The GMM is estimated as follows:

$$Y_{it} = b_0 + \alpha Y_{it-1} + \alpha Y_{it-2} + \alpha \text{Activism}_{it} + \theta \text{Firmcontrols}_{it} + \mu_{it} \quad (2)$$

Y_{it} represent the measure of profitability, either ROE or ROA, while Y_{it-1} and Y_{it-2} represent the corresponding lagged measures. The definition of lags follows the existing literature (e.g., Glen et al., 2001; Gschwandtner, 2005), including the dynamics of profitability (Wintoki et al., 2012), and is set at two because the literature argues it is likely to capture the persistency of profitability. Table 10 presents these estimates. The failure to reject the null hypothesis under the Hansen test implies that instruments are satisfying the orthogonality conditions required for the suitability of the model (Baum et al., 2003). This approach to containing potential endogeneity issues supports the results from the base model that profitability (either ROE or ROA) decreases following activist campaigns.

Next, in our identification strategy, we follow Farag and Dickinson (2020) and implement a difference-in-differences (DiD) approach, which aims to craft a quasi-natural experiment. We estimate the following DiD specification for firm i , and year t , for the period between 2000 and 2020:

$$Y_{it} = b_0 + \alpha \text{Treatment}_i \times \text{PostPeriod}_{it} + \theta \text{Firmcontrols}_{it} + \mu_{it} \quad (3)$$

The post treatment period takes the value of one from the year of the campaign of each firm i onwards, and zero otherwise. The *Treatment* group is, therefore, formed by all firms targeted by activist campaigns, which is the sample used in the analyses presented above of 5105 observations. For the control group, we added a new sample beyond the scope of the previous analyses. Because we focused exclusively on target firms of activist campaigns whose head offices were located in the US, we formed our control group by all other publicly listed firms in the same region and time period, except for those already in the treatment group, financial firms, and firms with no data available for all variables in our model. Thus, the control group comprises publicly listed firms headquartered in the US with no record of activist campaigns in Thomson Reuters Eikon, and it is composed of 737 unique firms, yielding 8986 firm-year observations from 2002 to 2020. The final sample for the DiD analysis expands to 14,091 firm-year observations. Table 11 highlights the mean difference between the treatment and control groups. Performance is lower in the group of firms targeted by activist campaigns, and this difference is significant at conventional levels. Table 12 details the DiD analysis employed to control for potential endogeneity issues. Results in the DiD approach fully corroborate our main findings for the full sample, although the effect remains unclear in the years subsequent to the intervention.

The period under analysis is characterised by a financial crisis that had its epicentre in the US. Therefore, we ran our main models by adding a dummy variable taking the value of one from 2007 to 2009. The main results do not change with this addition and are not formally presented for reasons of parsimony.

The EBITDA margin is included as a proxy for firm profitability, which differs from the performance captured by dependent variables, as they are adjusted for the capital required to operate the firm. Consequently, we rerun all models without including the EBITDA margin as regressors. As expected, our results are similar to the main findings.

5. Conclusions

This study aims to assess whether shareholder activism increases firm profitability following activist campaigns. Activist investment is an ongoing trend, and the prevailing view is that it adds value to firms. However, the current debate on this topic has still not reached a consensus. This research is designed to add further clarification to the discussion.

Our analyses reveal that shareholder activism does indeed influence firms' profitability following activist campaigns; however, not in the expected direction. We find that firms face declining profitability immediately following an activist campaign. Arguably, this effect comes as no surprise when one considers the disruptive effect of restructuring in the immediate aftermath of such campaigns. The results suggest that profitability decreases in the short term, but that this effect is much less evident in the years that follow. The conclusions are robust in the case of different proxies for firm profitability – specifically, when using ROE as an equity approach and ROA as a firm approach.

The discovery of an opposite, yet economically relevant, effect led us to further explore the topic by examining another potential

Table 10
Robustness test (Part A) – GMM Arellano-Bond.

	(1)	(2)	(5)	(6)	(9)	(10)	(13)	(14)
Profitability =	ROE	ROA	ROE	ROA	ROE	ROA	ROE	ROA
Activism	-0.027 * ** (0.010)	-0.011 * (0.006)						
Activism × T0			-0.016 (0.012)	-0.005 (0.007)				
Activism × T1					-0.020 (0.014)	-0.008 (0.008)		
Activism × T2							0.002 (0.013)	0.004 (0.006)
ROE (t-1)	0.216 * ** (0.045)		0.222 * ** (0.046)		0.223 * ** (0.046)		0.225 * ** (0.046)	
ROE (t-2)	0.031 (0.023)		0.040 * (0.023)		0.038 * (0.023)		0.040 * (0.023)	
ROA (t-1)		0.256 * ** (0.045)		0.259 * ** (0.045)		0.258 * ** (0.045)		0.260 * ** (0.045)
ROAE (t-2)		0.016 (0.021)		0.020 (0.021)		0.018 (0.021)		0.022 (0.021)
Obs.	4215	4215	4215	4215	4215	4215	4215	4215
Hansen test	80.04	82.95	82.39	84.23	81.88	83.91	83.09	84.90
AR(1) test statistic	-7.618	-6.421	-7.559	-6.342	-7.630	-6.390	-7.591	-6.379
AR(2) test statistic	0.377	0.120	0.176	0.052	0.226	0.053	0.180	0.012
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

This table uses the Arellano-Bond estimator to overcome potential endogeneity issues. The GMM estimator considers two years of the lagged dependent variable to control for the long-term rolling-over effect on profitability. The dependent variable is the firm's profitability, either ROE or ROA. The symbols *, **, and *** represent significance levels of 10%, 5%, and 1%, respectively.

Table 11
Differences in the treatment and control group.

Variable	Treated (Activists)	Control	Difference (Treated – Control)
ROE	0.040 (0.003)	0.122 (0.003)	-0.082 * ** (0.004)
ROA	0.017 (0.002)	0.054 (0.001)	-0.038 * ** (0.002)
Observations	5105	8986	

This table presents the difference between treatment (firms with activist campaigns) and the control group for the main variables in our study. For the control group, we selected all firms listed in the same region and time period, except for those already in the treatment group, financial firms, and firms with no data available for all variables in our model. The symbols *, **, and *** represent significance levels of 10%, 5%, and 1%, respectively. The symbols presented are for a one-tailed test.

driver of activist campaigns – the type of demand. Our rationale is that not all demands by activist shareholders adopt the same timing for implementation, nor do they exert the same intensity of change. The results reveal that the intensity of change shapes the effect of campaigns on profitability in different ways. For instance, demands that require more significant structural change in governance, such as seeking control of the board by replacing the CEO and other members, or changes in the firm's strategic direction, tend to have an even more deleterious effect on the firm's investor returns. On the other hand, activist shareholders' demand for board representation does not necessarily imply major structural changes, even though such activist action may well create the foundations for further change. Our results suggest that less-extensive demands exert a residual beneficial effect on the level of profitability. In fact, when all things are considered, campaigns driven by the desire to obtain board representation yield a positive but very modest effect on ROE of approximately 0.4%.

Therefore, we contribute further to the research by taking the additional step of looking at the type of demand in activist campaigns, in line with [Denes et al. \(2017\)](#), [Ng et al. \(2021\)](#), and [Swanson et al. \(2022\)](#). Similar to these authors, who have shown that different types of demand by activist shareholders also yield consequences for firms' outcomes (stock return, earnings management, and performance), we find that campaigns mainly focused on demanding a change in strategic direction or on obtaining board control exacerbate the decline in profitability.

From a managerial point of view, our results suggest that activist movements do not necessarily trigger better profitability levels for both firm and shareholders, in the short and the medium term. However, the long-term impact still remains largely unexplored. Furthermore, our analysis adds to the existing literature by demonstrating that the type of demand in activist campaigns shapes how activist activity influences returns.

Table 12

Robustness test (Part B) – Differences in Differences (DiD) approach.

	(3)	(4)	(7)	(8)	(11)	(12)	(15)	(16)
Profitability =	ROE	ROA	ROE	ROA	ROE	ROA	ROE	ROA
Treatment × Post Period	-0.020 ** (0.008)	-0.012 *** (0.004)						
Treatment × Post Period × T0			-0.021 * (0.011)	-0.016 ** (0.006)				
Treatment × Post Period × T1					-0.015 (0.012)	-0.010 (0.006)		
Treatment × Post Period × T2							-0.014 (0.012)	-0.007 (0.006)
Obs.	14,091	14,091	14,091	14,091	14,091	14,091	14,091	14,091
Obs. Treatment	5105	5105	5105	5105	5105	5105	5105	5105
Adj. R-squared	0.132	0.197	0.132	0.197	0.131	0.196	0.131	0.196
F	31.258	32.439	31.414	32.820	30.510	31.631	30.571	31.669
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

This table uses the difference-in-differences (DiD) approach to overcome potential endogeneity issues. The DiD uses as the treatment group (*Treatment*) firms that were targeted by activist campaigns, which is the sample used in the previous analyses. For the control group, we selected a new sample that covers all firms listed in the same region and time period, except for those already in the treatment group, financial firms, and firms with no data available for all variables in our model. The post period takes the value of one from the year of the activist campaign of each firm onwards, and zero otherwise. The dependent variable is the firm's profitability, either ROE or ROA. The symbols *, **, and *** represent significance levels of 10%, 5%, and 1%, respectively.

Our findings carry certain policy implications. Overall, the assertion that activist shareholder campaigns yield positive performance in the short term is contradicted by our study, whilst not supported over the medium-to-long-term outlook. Activist interventions impose costs on companies and may be detrimental to creating value for non-controlling and minority shareholders. Nevertheless, activist campaigns do not affect companies linearly. Actions by activist shareholders aimed at securing board representation are superior to all other types of demand in enhancing the target firm's performance. In addition, when the demand takes a step further and secures control of the board, the effect is the opposite, offsetting any potential gains from having established a foot in the boardroom door.

Our results pinpoint several avenues for future research. Firstly, exploring the motives behind initiating a campaign could be fruitful in future research. Secondly, it was found that, although profitability is negatively affected in the short term, there is no evidence of any association in the medium term. Therefore, there is a need to identify the point of inflexion in firm profitability. This is relevant to the ability of stakeholders to better assess how and when activist campaigns are likely to guarantee a return for incumbent shareholders.

Conflict of interest statements

The authors declare not having competing interests to declare.

Data availability

The authors do not have permission to share data.

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